D06 · Logistics Governance & Analytics

01 · Logistics cost control & budget management

Supply Chain Reference Architecture v2.2 · mrsupplychain.ai

1 WHAT IT IS

Logistics cost control builds a driver-based budget — volume, channel mix and market rates — tracks actuals against it, and explains every variance down to its root cause so that the controllable part can be managed.

2 WHY IT MATTERS

Logistics cost mixes fixed and highly variable components, and freight markets can move sharply within a year. **A budget built only on total volume produces variances nobody can explain, and unexplained variances get cut arbitrarily.** Separating volume, mix, rate and efficiency effects shows finance what logistics actually controls and where to act.

3 HOW IT IS DONE

1. **Model the cost drivers explicitly.** Volume, channel and customer mix, market rates and fixed cost blocks.
2. **Reforecast at least quarterly.** Update rate and mix assumptions as markets move.
3. **Decompose every variance.** Volume, mix, rate and operational efficiency (urgency, fill, premiums).
4. **Attack the controllable part.** Premium freight, poor fill and avoidable accessorials are the fastest levers.

IN PRACTICE

Model the three drivers explicitly

Volume + mix + rate. Anything less produces budgets that are wrong for structural reasons.

Reforecast quarterly

Annual budgets that are not refreshed become fiction by Q3 in volatile freight markets.

Attack urgent/expedite freight as a priority lever

It is one of the few cost components that can be reduced quickly through better planning and inventory discipline.

ILLUSTRATIVE CASE

Illustrative case built from typical industry values — not data from a specific company.

Illustrative case — FMCG company, Q3 outbound freight +18% vs budget ($480K overrun)

Driver	Impact	Action
Channel mix (e-commerce +34% vs plan)	$280K	Update budget model; review e-commerce pricing
Market rates (+22% vs assumption)	$140K	Quarterly rate reforecast process instituted
Urgent LTL from inventory shortages	$60K	Safety-stock recalibration in two DCs

Result: Two of the three drivers were structural and required planning-process changes. Only one was a pure operational failure. The quality of the conversation with finance improved dramatically once the split was visible.

HOW IT IS MEASURED

Logistics Cost Budget Variance %

(Actual – Budget) / Budget × 100

Benchmark: <5% monthly is healthy; >10% requires formal root-cause and reforecast

Cost per Order by Channel

Fully loaded logistics cost / Orders by channel

Benchmark: B2B $15–45 · Retail $20–60 · E-commerce $45–120 (highly dependent on model)

WHAT YOU WOULD USE

Logistics Costing & Budgeting

SAP S/4HANA Profitability Analysis + Transportation Costing — Strong for allocating freight into channel and customer P&Ls.

Power BI Logistics Cost Dashboards — Flexible layer for variance analysis and driver tracking.

4 SO WHAT

Budget by drivers, explain by drivers. Model volume, mix and rate, reforecast every quarter and separate what the market did from what the operation did.

From the SCRA v2.2 reference architecture · mrsupplychain.ai · © 2026 Ismael López · Mr. Supply Chain® México